

Standards & Guidance summarizes the supplied pages. The practical sections contain suggested applications. Risk ratings and findings are illustrative, and red flags require further examination.

Principle 6 — Authorized by the Board

Domain: III — Governing the Internal Audit Function

The board establishes, approves, and supports the internal audit mandate. In certain public-sector environments, the mandate may originate from applicable law.

The mandate defines the internal audit function's authority, role, and responsibilities and is documented in its charter. It enables internal audit to provide objective assurance, advice, insight, and foresight through a systematic approach to evaluating and improving governance, risk management, and control processes.

Standard 6.1 — Internal Audit Mandate

1. Standards & Guidance

Requirements — Chief Audit Executive

- Provide the board and senior management with the information needed to establish the internal audit mandate.
- Where laws or regulations prescribe all or part of the mandate, include the applicable legal requirements in the internal audit charter.
- Coordinate with other internal and external assurance providers to understand their respective roles and responsibilities and help determine the scope and types of internal audit services.
- Document or reference the mandate in the board-approved internal audit charter.
- Periodically assess whether changed circumstances justify discussions about the mandate.
- When warranted, discuss whether the function's authority, role, and responsibilities remain sufficient to achieve its strategy and objectives.

Essential Conditions — Board

- Discuss the appropriate authority, role, and responsibilities of internal audit with the chief audit executive and senior management.
- Approve the internal audit charter, including the mandate and the scope and types of services.

Essential Conditions — Senior Management

- Participate in mandate discussions and communicate expectations for the board's consideration.
- Support the mandate throughout the organization and promote the authority granted to internal audit.

Considerations for Implementation

The chief audit executive should explain the characteristics of an effective internal audit function, drawing on the Standards, applicable requirements, and relevant leading practices.

Mandate discussions should clarify:

- **Authority:** Direct access to the board and access to organizational records, personnel, activities, and property necessary for audit responsibilities.
- **Role:** Internal audit services and any additional responsibilities assigned to the chief audit executive, with consideration of independence safeguards.
- **Responsibilities:** Accountability for audit performance, communications, compliance, and conformance with the Standards.
- **Scope:** The organizational activities, entities, locations, or other boundaries covered.
- **Services:** Assurance, advisory, or more specifically defined services within the mandate.

Changes that may warrant reconsideration include significant reorganizations, acquisitions, leadership changes, revised strategies, changing risks, and changes to relevant laws or professional standards.

The implementation guidance recommends formally considering such changes at least annually, while recognizing that significant changes can arise at any time.

Examples of Evidence of Conformance

- Board meeting minutes documenting mandate discussions.
- An approved charter documenting or referencing the mandate.
- Board meeting minutes documenting discussion and approval of charter changes.

2. Audit Focus Areas

- Clarity of internal audit's authority, role, and responsibilities.
- Alignment between the mandate and organizational needs.
- Inclusion of applicable statutory responsibilities.
- Defined scope and types of services.
- Coordination with other assurance providers.
- Reassessment following significant changes.
- Management's communication and support of the mandate.

3. Risks

Risk	Indicative Rating
An unclear mandate leads to disputes over internal audit's authority.	High
Required activities fall outside the documented mandate and receive inadequate attention.	High
Overlapping or unclear assurance responsibilities create coverage gaps or duplication.	Medium
Organizational changes make the mandate outdated.	High
Additional responsibilities compromise internal audit's ability to provide objective assurance.	High

4. Controls

Suggested Control	Control Type
Document the mandate in a board-approved charter.	Preventive
Map applicable legal requirements to the mandate.	Preventive / Detective
Maintain a record of assurance providers' roles and responsibilities.	Preventive
Assess significant organizational changes for their effect on the mandate.	Detective
Document mandate discussions, decisions, and approved revisions.	Preventive / Detective
Communicate the mandate and resolve challenges to audit authority.	Preventive / Corrective

5. Audit Procedures

Procedure	Evidence to Examine
Assess whether the mandate clearly defines authority, roles, responsibilities, scope, and services.	Charter, mandate documents
Verify board approval and senior management participation.	Meeting minutes, consultation records
Compare applicable statutory responsibilities with the documented mandate.	Requirements mapping, legal input, charter
Examine coordination with other assurance providers.	Assurance maps, coordination meeting records
Review significant organizational changes and related mandate assessments.	Restructuring records, strategy updates, review documentation
Trace challenges to audit authority to escalation and resolution.	Access disputes, correspondence, board discussions

6. Red Flags

- Managers question whether internal audit has authority to review their activities.
- Departments are excluded without a clear basis in the mandate.
- Actual services differ materially from the approved mandate.
- Major changes occur without any assessment of mandate implications.
- Assurance providers assume another function covers a significant risk.
- Non-audit responsibilities are assigned without considering independence.

7. Common Findings — Illustrative Examples

- The mandate does not clearly define the scope of internal audit services.
- Applicable statutory responsibilities are omitted.
- Changes to audit responsibilities lack documented board approval.
- Coordination with other assurance providers is insufficient.
- The mandate has not been reassessed following significant organizational changes.
- Management has not effectively communicated internal audit's authority.

8. Professional References

- Standard 6.1 — Internal Audit Mandate.
- Standard 6.2 — Internal Audit Charter.
- Standard 7.1 — Organizational Independence.
- Standard 9.5 — Coordination and Reliance.
- Applying the Global Internal Audit Standards in the Public Sector.

Standard 6.2 — Internal Audit Charter

1. Standards & Guidance

Requirements — Chief Audit Executive

Develop and maintain an internal audit charter covering, at a minimum:

- The Purpose of Internal Auditing.
- Commitment to the Global Internal Audit Standards.
- The mandate, including the scope and types of services.
- The board's responsibilities and expectations regarding management's support for internal audit.
- Organizational positioning and reporting relationships.

Discuss the proposed charter with the board and senior management to confirm that it accurately reflects their understanding and expectations.

Essential Conditions — Board

- Discuss additional charter provisions needed to enable an effective internal audit function.
- Approve the charter.
- Review the charter with the chief audit executive in light of organizational changes, including changes in audit leadership and the nature, severity, or interrelationships of risks.

Essential Conditions — Senior Management

- Communicate expectations that should be considered for inclusion in the charter.

Considerations for Implementation

The charter should be tailored to the organization and explain administrative reporting arrangements, including processes for human resources administration, budgets, approval of the chief audit executive's expenses, and performance review.

Where reporting relationships are established by law or regulation, the charter should reference the relevant documents. The supplied guidance allows laws or regulations to substitute for a formal charter where they comprehensively cover charter requirements.

The chief audit executive and board should agree on the frequency of charter reviews and update it when needed.

Additional topics to consider include:

- Safeguards for independence and objectivity.
- Access to information, personnel, and physical property.
- Communications with the board and senior management.
- Engagement communications and handling disagreements with management.
- Quality assurance and improvement arrangements.
- Relevant approval responsibilities.

Examples of Evidence of Conformance

- Board meeting minutes documenting charter discussion and approval.
- The approved charter and its approval date.
- Records showing periodic charter review with the board and senior management.

2. Audit Focus Areas

- Completeness of minimum charter content.
- Board approval and documented approval date.
- Accurate organizational positioning and reporting relationships.

- Alignment with stakeholder expectations and actual practice.
- Periodic review and timely updates.
- Clear access, communication, and governance arrangements.

3. Risks

Risk	Indicative Rating
An incomplete charter leaves audit authority or responsibilities unclear.	High
Reporting relationships undermine effective positioning of internal audit.	High
An outdated charter conflicts with actual organizational arrangements.	High
Management and the board hold inconsistent expectations of internal audit.	Medium
Uncontrolled charter versions create uncertainty about approved provisions.	Medium

4. Controls

Suggested Control	Control Type
Use a charter review checklist covering all minimum content.	Preventive / Detective
Document consultation with the board and senior management.	Preventive
Obtain and retain board approval of the charter and revisions.	Preventive
Establish an agreed review cycle and triggers for earlier review.	Preventive / Detective
Maintain version control and make the approved charter available to relevant stakeholders.	Preventive
Compare actual reporting and approval arrangements with the charter.	Detective

5. Audit Procedures

Procedure	Evidence to Examine
Assess the charter against each minimum content requirement.	Approved charter, completeness checklist
Verify approval, approval date, and the version approved.	Board minutes, approval records, version history
Compare reporting relationships with actual arrangements.	Organization charts, reporting records, charter
Assess whether stakeholder expectations were discussed.	Draft comments, consultation records, meeting minutes
Examine whether significant changes prompted review.	Leadership changes, risk updates, charter review records

Procedure	Evidence to Examine
Check whether relevant stakeholders use the current approved version.	Published charter, distribution records, interviews

6. Red Flags

- The charter remains marked “draft” while being treated as approved.
- No evidence identifies the approved version.
- The charter names obsolete reporting positions.
- Actual approval arrangements differ from those documented.
- Material changes occur without charter review.
- Stakeholders cannot locate the current charter.

7. Common Findings — Illustrative Examples

- The charter omits one or more minimum required elements.
- Commitment to the Global Internal Audit Standards is not stated.
- Board approval cannot be demonstrated.
- Organizational positioning or reporting relationships are unclear.
- Charter review frequency has not been agreed.
- Superseded versions remain in circulation.

8. Professional References

- Standard 6.2 — Internal Audit Charter.
- Standard 6.1 — Internal Audit Mandate.
- Standard 7.1 — Organizational Independence.
- Standard 8.3 — Quality.
- Standard 8.4 — External Quality Assessment.
- Principle 12 — Enhance Quality and its standards.

Standard 6.3 — Board and Senior Management Support

1. Standards & Guidance

Requirements — Chief Audit Executive

- Provide the board and senior management with information needed to support and promote recognition of internal audit throughout the organization.
- Coordinate internal audit’s board communications with senior management to support the board in fulfilling its responsibilities.

Essential Conditions — Board

- Champion internal audit's purpose, strategy, and objectives.
- Work with senior management to enable unrestricted access to information, records, personnel, and physical property necessary to fulfill the mandate.
- Support the chief audit executive through regular, direct communication.
- Establish reporting at an organizational level that enables fulfillment of the mandate.
- Approve the internal audit charter, audit plan, budget, and resource plan.
- Inquire about restrictions on scope, access, authority, or resources that could limit effectiveness.
- Meet periodically with the chief audit executive without senior management present.

Essential Conditions — Senior Management

- Support recognition of the internal audit function throughout the organization.

Considerations for Implementation

The supplied guidance recommends that the board and chief audit executive meet without management at least annually; quarterly private sessions are identified as a leading governance practice.

The chief audit executive should also communicate with the board between scheduled meetings. Both parties should agree on the information to be communicated and its level of detail.

Administrative reporting should be to someone who can support fulfillment of the mandate. Reporting administratively to the chief executive officer or equivalent is described as a leading practice.

Senior management should normally be informed of private discussions unless doing so would be inappropriate, such as when discussions concern possible misconduct by a member of senior management.

Coordination should support timely, clear, transparent reporting and reduce unnecessary duplication or conflicting communications. It should preserve the chief audit executive's direct access to the board.

Board approval of the budget and resource plan supports oversight of the resources needed to deliver planned activities.

Examples of Evidence of Conformance

- Board minutes documenting review and approval of the audit plan, budget, and resource plan.
- Records of board and senior management discussions about unrestricted access.

- An agreed communication matrix identifying information to be reported, recipients, and expected frequency.

2. Audit Focus Areas

- Visible board and senior management support.
- Direct communication between the board and chief audit executive.
- Private sessions without senior management.
- Effective access to necessary information, personnel, and property.
- Board oversight of plans, budgets, and resources.
- Escalation and resolution of restrictions.
- Coordinated reporting that preserves independent communication.

3. Risks

Risk	Indicative Rating
Weak leadership support reduces cooperation with internal audit.	High
Management filters or delays significant communications to the board.	High
Access restrictions prevent sufficient audit coverage.	High
Resource limitations prevent delivery of planned activities.	High
The absence of private sessions prevents candid discussion of sensitive matters.	High

4. Controls

Suggested Control	Control Type
Communicate leadership support for internal audit and expectations for cooperation.	Preventive
Maintain direct communication channels between the chief audit executive and board.	Preventive
Schedule private sessions and document that they occurred.	Preventive / Detective
Obtain board approval of the charter, audit plan, budget, and resource plan.	Preventive
Record and escalate restrictions affecting scope, access, authority, or resources.	Detective / Corrective
Agree on reporting topics, recipients, frequency, and urgent escalation arrangements.	Preventive

5. Audit Procedures

Procedure	Evidence to Examine
Assess how the board and senior management communicate support for internal audit.	Leadership communications, meeting records, interviews
Verify regular direct communication and private sessions with the board.	Agendas, attendance records, communication logs
Examine board approval of plans and resources.	Approved charter, audit plan, budget, resource plan, minutes
Sample access difficulties and trace escalation and resolution.	Data requests, restriction logs, correspondence
Compare resource availability with planned work and assess board awareness of shortfalls.	Staffing records, budget reports, plan changes
Assess whether reporting arrangements support timely communication without inappropriate filtering.	Communication matrix, board submissions, escalation records

6. Red Flags

- All board communication requires management clearance.
- Private sessions are repeatedly cancelled or never scheduled.
- Requests for necessary audit information remain unresolved.
- Resource reductions materially affect coverage without board discussion.
- The board is unaware of significant audit restrictions.
- Management discourages employees from cooperating with internal audit.

7. Common Findings — Illustrative Examples

- Leadership support is not communicated across the organization.
- Direct communication with the board is insufficient.
- Periodic private sessions are not demonstrated.
- Board approval of the audit budget or resource plan is undocumented.
- Access restrictions remain unresolved and are not escalated.
- Reporting responsibilities and frequency are not clearly agreed.

8. Professional References

- Standard 6.3 — Board and Senior Management Support.
- Standard 7.1 — Organizational Independence.
- Related standards: 6.1 — Internal Audit Mandate; 6.2 — Internal Audit Charter.

Platform implementation note: Create three separate records for **6.1, 6.2, and 6.3**. Within each record, distinguish **CAE Requirements**, **Board Essential Conditions**, **Senior Management Essential Conditions**, and **Implementation Considerations**. Display recommended frequencies and leading practices as guidance rather than mandatory requirements